



I'm the Only Owner of My LLC **How Do I Actually Pay Myself?**

The Right Way to Take Draws From a Single-Member LLC (and Where Owners Get It Wrong)

A field guide for first-time business owners

A NOTE BEFORE WE START

This presentation is provided for general educational purposes only and does not constitute tax, legal, or accounting advice for any specific individual or entity. The treatment of owner draws, self-employment tax, and estimated payments is highly fact-specific and depends on the particular circumstances of each business — what applies to one owner may not apply to another.

Nothing in this deck should be relied upon in place of consultation with a qualified CPA, tax advisor, or attorney regarding your specific situation. Nácar & Ledger is glad to discuss how these issues may apply to your business directly.

WHY THIS LIST EXISTS

Taking money out of your own LLC feels simple — it's your business, it's your money. It stops feeling simple the first time you owe more in taxes than you set aside, or a state notice shows up asking why nothing was ever filed.

Underpaid taxes

Draws aren't wages — no one withholds anything for you. Skip the self-employment tax math and the bill lands all at once, plus penalties for paying late.

Commingled funds

One account for everything makes it impossible to tell what's actually a business expense — and that's exactly what an examiner looks for first.

Missed state filings

RI and MA both expect ongoing filings and fees just for the LLC to exist. Most first-time owners never hear about them until something's overdue.



Treating Draws Like a Paycheck

THE MISTAKE

Money moves from the business account to a personal account, and nothing is set aside — the whole amount gets spent like take-home pay.

WHY IT HAPPENS

A W-2 job trains you to expect taxes are already handled. An LLC draw doesn't work that way, and nobody tells you that at the bank.

WHAT IT COSTS YOU

By tax time, you owe self-employment tax and income tax on the full amount — with nothing left over to pay it.



No Regular Draw Schedule or Amount

THE MISTAKE

Draws happen whenever cash is needed — \$500 one week, \$3,000 the next, with no consistent pattern.

WHY IT HAPPENS

There's no HR department setting a salary, so the amount just becomes whatever feels available that day.

WHAT IT COSTS YOU

Without a consistent number, there's no way to estimate what you actually owe — so quarterly payments get skipped or guessed at.



Draws Pulled From a Commingled Account

THE MISTAKE

The business and personal accounts are the same account — or money moves back and forth between them constantly.

WHY IT HAPPENS

Opening a second account feels like an extra step when the business is small enough to track “in your head.”

WHAT IT COSTS YOU

The liability protection an LLC is supposed to provide weakens fast once personal and business money can't be told apart.



Skipping Quarterly Estimated Taxes

THE MISTAKE

Taxes only get paid once a year, at filing time, in one lump sum.

WHY IT HAPPENS

Nobody sends a bill for quarterly estimates the way a landlord sends a rent notice — it's on the owner to know the dates exist.

WHAT IT COSTS YOU

The IRS and state both charge underpayment penalties for the months the money should have been paid in, even if the full amount is paid by April.



Booking Draws as a Business Expense

THE MISTAKE

Owner draws get entered in the books as “salary,” “contractor pay,” or another expense category instead of an equity withdrawal.

WHY IT HAPPENS

It feels like an expense — money left the account — so it gets filed the same way any other outgoing payment would be.

WHAT IT COSTS YOU

Profit looks artificially lower than it is, which distorts everything downstream — loan applications, tax estimates, and your own sense of how the business is doing.



Missing State-Level Filings and Fees

THE MISTAKE

No annual report gets filed, and the state's minimum LLC fee goes unpaid, sometimes for years.

WHY IT HAPPENS

Formation felt like the finish line. Nobody mentioned there's an ongoing filing calendar that starts the year after.

WHAT IT COSTS YOU

Late fees compound, and in Rhode Island and Massachusetts alike, an LLC that falls too far behind can be administratively dissolved without much warning.

How This Actually Catches Up With You

Sloppy draws resolve themselves one of two ways — and one is a lot more expensive than the other.

PATH A

You Catch It Yourself

You notice the gap before filing — a scramble to reconstruct the year, but still your timeline and your terms.

You may still owe an underpayment penalty for the quarters you missed, but the number is smaller and the fix is straightforward.

PATH B

The State or IRS Catches It First

A notice arrives — unfiled reports, an underpayment flag, or a return that doesn't match the deposits an examiner can see.

Now it's back taxes, penalties, and interest on their timeline — and a much closer look at everything else in the return.

The Fix Is Almost Always the Same

1

Set a real draw amount

Pick a consistent number you can sustain, and revisit it every quarter.

2

Open a separate business account

Every draw moves from there to your personal account — never straight from a shared pool.

3

Set aside for taxes with every draw

A simple percentage held back the moment you draw beats scrambling to find it in April.

4

Pay quarterly estimates

Federal and state — mark the four dates and treat them like any other bill.

5

Book draws to equity, not expense

Keep the profit and loss statement clean so it actually reflects how the business is doing.

6

Know your state's filing calendar

RI and MA both have annual requirements — put the dates somewhere you'll actually see them.



Get This Right Before It Costs You

A clean, consistent way of paying yourself is one of the highest-leverage things a first-time owner can set up — before a missed quarter or a state notice makes the choice for you.

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